

The Philosophy of Money: What Is Money, Why It Matters

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1. Introduction

Money is one of the most influential institutions in human society. It shapes relationships, structures markets, and affects individual behavior. While economics studies how money functions in markets, the **philosophy of money** investigates what money is, what it means, and how it transforms human values.

Economists, sociologists, and philosophers have long understood that money is a cultural and moral force that shapes human interaction, thought, and behavior rather than just a neutral tool for transactions.

"The greatest wealth is to live content with little." — Aristotle

"Wealth is evidently not the good we are seeking; for it is merely useful and for the sake of something else." — Cicero

These ideas have been analyzed since the beginning. Ever since the concept of money was created, philosophers have been asking questions about it. Understanding its impact and effect on the human mind allows us to discover how the world works.

2. Key Definitions

To understand the philosophy of money, we must first define its nature through three distinct lenses:

- **Money** : A socially recognized medium of exchange, a unit of account, and a store of value. Its effectiveness depends not on physical properties but on trust, institutional backing, and collective acceptance.
- **Commodity Theory** : The belief that money derives its value from the intrinsic worth of the material it is made of, such as gold or silver.
- **Credit Theory**: The view that money is a claim or IOU—essentially a credit-debt relationship. Money represents a promise backed by institutions.
- **Social Ontology**: The concept that money exists as a social construct created through collective agreement. Its value arises from shared beliefs, norms, and legal frameworks.

3. Major Philosophical Theories

Money mediates social relations, enabling both cooperation and competition. It can increase individual freedom by providing choice, but at the same time cause alienation, dependency, and inequality. Classical thinkers, from Aristotle and Cicero to the Stoics, explored how wealth and desires shape moral life.

A. The Commodity Theory

This is the traditional economic concept. Under this theory, money has intrinsic value because the underlying commodity (e.g., gold) is desirable for its utility in industry or jewelry. It suggests that money evolved naturally as people chose the most durable and widely accepted commodities to trade.

B. The Credit Theory

This theory argues that money is essentially a social and legal credit-debt relationship. It originated not as a physical object, but as a unit of account to measure obligations. In the modern financial system, most money is created by commercial banks when they grant loans. The value derives from the confidence in the issuer's ability to repay, not the material itself.

"A sale and purchase is the exchange of a commodity for credit." — Mitchell-Innes (1914)

C. The Social Ontology of Money

This study focuses on money as an "institutional fact." Money exists because we collectively attribute a specific status to a piece of paper or a digital number. This status gives it the power to function as a medium of exchange. The reality of money is sustained entirely by shared beliefs and trust in the system.

4. The Modern Perspective

Modern money is primarily **Fiat Currency**. It is a special type of financial asset that is not backed by any physical commodity.

Its value derives from:

1. **Trust:** Social acceptance of the currency.
2. **Law:** The government declares it "legal tender" (it must be accepted for debts).
3. **Taxation:** The state requires taxes to be paid in this specific currency.

"Money is a creature of law." — Knapp (1905)

5. Frequently Asked Questions

Can money buy happiness? The answer is complex. Philosophical perspectives suggest that money alone cannot create true happiness. While it can alleviate the stress of poverty and satisfy basic needs, studies show that once a certain income threshold is exceeded, more money does not significantly improve daily emotional well-being.

Why study the philosophy of money? It helps us determine the fundamental nature of value. Understanding whether money is a commodity, a debt, or a social construct is crucial for analyzing financial systems, central banking, and the source of economic power.

How does money influence freedom? Money influences freedom by expanding the choices available to an individual. It reduces dependency and enables autonomy. However, a lack of money can limit freedom, create vulnerability, and reinforce social inequalities. Money can both empower and constrain, depending on the social system.

Does money have intrinsic value? No. Modern forms of money do not have intrinsic value. Since fiat currency is not backed by a physical commodity, its worth is determined by institutional authority and collective belief rather than material substance.